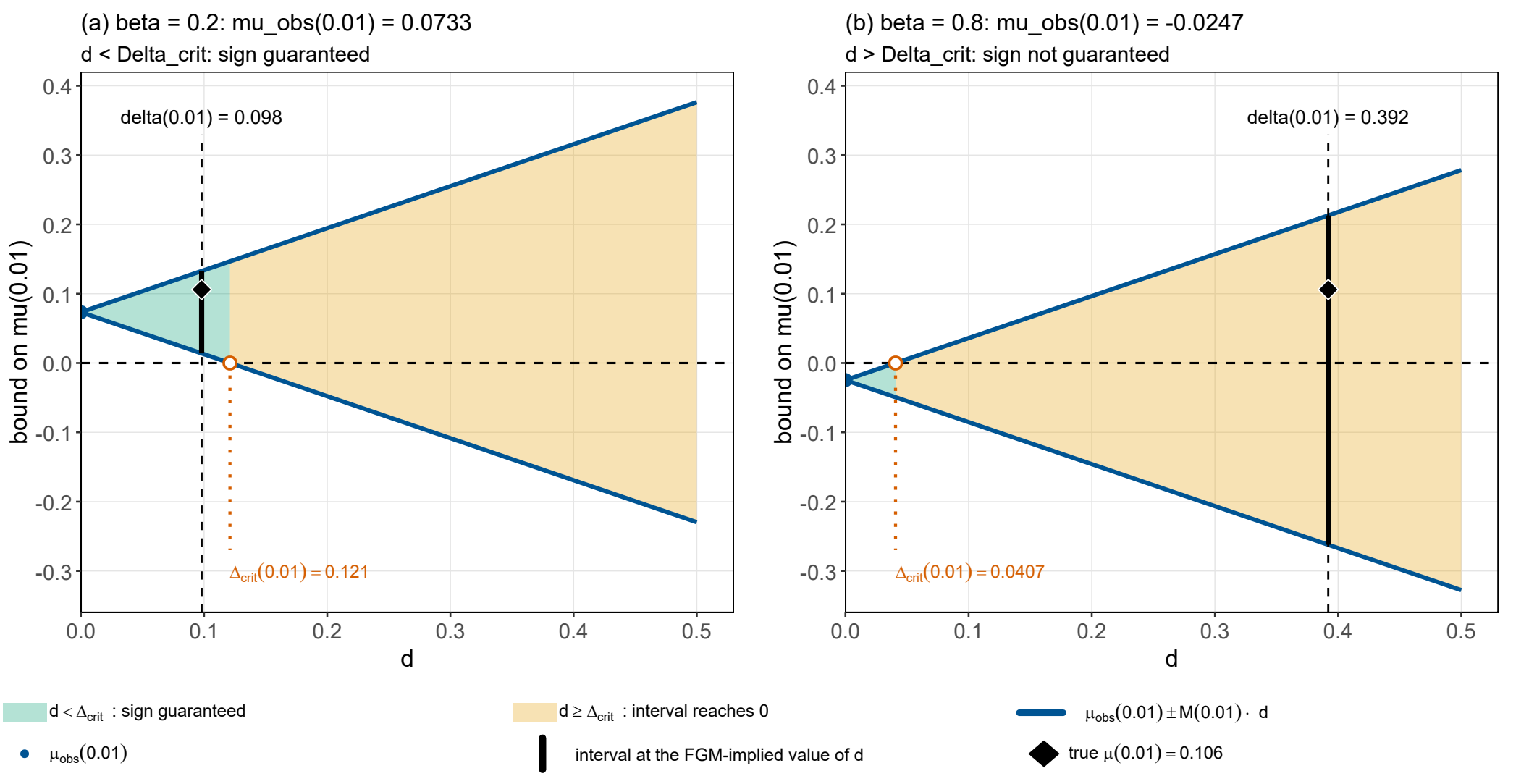
(a) beta = 0.2: mu_obs(0.01) = 0.0733
d < Delta_crit: sign guaranteed
delta(0.01) = 0.098
Δcrit(0.01) = 0.121
bound on mu(0.01)
d
(b) beta = 0.8: mu_obs(0.01) = -0.0247
d > Delta_crit: sign not guaranteed
delta(0.01) = 0.392
Δcrit(0.01) = 0.0407
bound on mu(0.01)
d
d < Δcrit : sign guaranteed
d ≥ Δcrit : interval reaches 0
μobs(0.01) ± M(0.01) · d
μobs(0.01)
interval at the FGM-implied value of d
true μ(0.01) = 0.106